

August 14, 2026 03:59 AM GMT

SanDisk Corporation. | North America

Sandisk 100% cash return is a clear positive

Sandisk investor day focused on the strong industry environment, the role of NAND in AI data centers, and the company's technology roadmap, but the headline will be 100% return of cash flow.

Key Takeaways

- We aren't completely in agreement with management's view that improvements are more structural than cyclical
- That said, near term conditions are strengthening while sentiment is weakening. and the strength feels very durable as long as AI spending remains robust
- With that cycle backdrop, the most important management decision will be capital allocation
- Continued moderate investment and return of 100% of cash flow are substantial positive; stay OW the stock.

Sandisk made clear their belief that the NAND industry is entering a new era of long-term AI demand growth, with Sandisk's technology and product portfolio continuing to lead the industry. Sandisk is arguing for sustainability of the current cycle, with NBM (new business model) driving enhanced visibility into customer demand, while the unique attributes of NAND technology improves the ROI on AI capex and the quality of AI experiences. Management's FY28-FY30 model is for a mid to high teens bit growth rate, 80% gross margins, and a commitment to 100% FCF return with MSD capital intensity - putting the stock at about ~4-5x FY30 EPS, with commutative FCF between now and then of ~\$100bn vs the current market cap of \$223bn. Commentary around NBM was unchanged since earnings last week, but this was a good forum for management to reinforce their conviction in the strategic nature of the relationships and make their case for why they will stand the test of time.

Our view is a little bit more focused on cyclicity - we don't see 75%+ operating margins being sustainable; that's happening because there is a shortage. But with 20% supply growth amid much stronger data center growth, and shortages through other parts of the memory/storage hierarchy (both hard disk drives and DRAM), we can stay at or above these margin levels for multiple years. We like that Sandisk has been front footed about pushing for duration, and their relative transparency on contract timing and structures. Yet it's hard to tell how these new contracts will perform over a cycle - but it doesn't matter to the shorter-term investment case as long as NAND is in shortage, where we have very high conviction that it will continue to be as long as AI investment continues at this pace.

Our enthusiasm - and, we think, the stock market reaction - was mostly by the

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SanDisk Corporation. (SNDK.O, SNDK US)

Semiconductors | United States of America

Stock Rating	Overweight
Industry View	Attractive
Price target	\$1,750.00
Shr price, close (Aug 13, 2026)	\$1,528.11
Mkt cap, curr (mm)	\$249,792
52-Week Range	\$2,354.39-42.82

Fiscal Year Ending	06/26	06/27e	06/28e	06/29e
EPS (\$)**	70.99	212.37	173.37	124.80
Prior EPS (\$)**	-	-	-	-
P/E	33.3	7.3	9.0	12.6
EPS (\$)§	65.69	218.73	254.15	199.12
Div yld (%)	0.0	0.0	0.0	0.0

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

QUARTERLY EPS (\$)

Quarter	2026	2027e Prior	2027e Current	2028e Prior	2028e Current
Q1	-	-	-	-	-
Q2	-	-	-	-	-
Q3	-	-	-	-	-
Q4	-	-	-	-	-

e = Morgan Stanley Research estimates

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FCF return commitment, along with a reasonable long-term model. We heard a consistent investor concern coming into the investor day that Sandisk stock could react negatively to a the long-term model, given a higher gross margin forecast than the current 84% would be seen as unrealistic and a lower one evidence there's limited upside to ASP/margins going forward. We thought management threaded the needle, with the target model referring only to FY28-30, and a margin level corresponding to what we already knew was the NBM margin floor. Combine that with a mid single digit capital intensity and a 100% FCF return policy, and there was far more to like than be skeptical of, in our view.

Is some of what we heard about NAND playing a bigger role in AI a negative for DRAM? Sandisk talked about the potential benefits of HBF technology, and the broader pull for more performance at lower tiers of the memory hierarchy. Some of that raised questions on a wallet shift away from DRAM and towards NAND as inference continues to scale. We think that may happen in some cases, especially given the cost/bit advantage NAND has in workloads where storage needs quickly surpass HBM/main memory. But we don't envision cases where customers are looking at the two technologies in an effort to substitute: DRAM is a different use case than NAND and carries orders of magnitude higher performance. What we think is happening is akin to the emergence of SRAM architectures for fast inference; there will be a continued stratification of AI workloads with different requirements all needing a differently optimized storage hierarchy. That's going to create a lot of areas for innovation going forward, but we would not expect anything at this point to be zero sum.

Our highlights from management presentations:

- **Commitment to cash return:** Management reiterated that 100% of "excess cash" will go back to shareholders, with buybacks the current preferred vehicle, and with no debt management is focused on capital return. What does "excess FCF" mean? Management described it as 100% of FCF after reinvestment. In Q4 2026, Sandisk generated \$5 billion of free cash flow and bought back \$4.5 billion of stock - and investors should expect that going forward. The current authorization has \$15.5 billion remaining.
- **Underlying NAND process leadership and capital efficiency:** Across BiCS5 through BiCS10 (5 nodes over ~9 years), Sandisk has delivered a 27% annual CAGR in bit output per wafer - with industry leading capital efficiency. The Sandisk/Kioxia JV has spent 2.66x less capital than the industry average per incremental petabyte of output in 2025, and over 2021–2025 produced 29% of industry bits while spending only 13% of industry capex (~2x the capital efficiency of the nearest competitor). BiCS9, announced just last week, is the first product to apply the CBA hybrid-bonding "derivative roadmap", which combines the BiCS8 cell array with next-gen CMOS to deliver a big performance step-up with minimal incremental capital. The new node is designed specifically to hyperscaler specs and already shipping as part of Sandisk's NBM agreements. We also got a look at BiCS10 (sampling in Aug 2026), which builds on industry leading BiCS8 with another ~60% or so improvement in bit density.
- **HBF and other emerging memory technologies create asymmetric upside:**

Sandisk taped out its first HBF (High-Bandwidth Flash) memory die and expects to deliver first customer samples next year. The HBF ecosystem is scaling quickly, the first public spec was released last week at FMS, Meta became the 2nd hyperscaler to join the consortium, and Jim Keller, CEO of Tenstorrent has joined the advisory board. Keller was in person at the event today and spoke about HBF's ability to rebalance compute/memory economics in inference workloads. SanDisk's own workload simulations showed HBF-equipped systems matching HBM-based performance with half the GPUs (2x capital efficiency) or running minimum workloads at 1/8th the GPU count. Separately, 3D Matrix Memory - in development with IMEC since 2017 - has progressed to functional multi-gigabit memory arrays on 300mm wafers, a longer-horizon but very compelling technology. Neither technology is included in the Sandisk financial model.

- **Consumer end markets:** Sandisk didn't spend much time here as part of the event given the focus on new opportunities in datacenter, but the preliminary outlook seems to be CY27 mobile and PC units will be down, but with a much more favorable content mix, especially in PCs. Sandisk remains committed to its consumer franchise, and the ballast it can provide the business in a downcycle.
- **Business mix:** Sandisk's NBMs are with customers growing above the market, and with 2/3rds of FY28 volume locked in, Sandisk's mix out into FY29-30 will be very heavily skewed to these contracts (which are likely majority datacenter, and only with a handful of customers). It's a positive to be levered to the highest growth markets, and higher concentration of datacenter is inevitable to some degree, but it does create risks. However, the alternative may be to invest for a higher level of volume growth, so we'll be curious to see how Sandisk continues to approach this trade-off.

Stay OW the stock, as industry conditions are improving. We remain convicted that the 3Q supply/demand for NAND is tightening, and that third party reports of more tepid price increases are stale, as recent purchasing has shown very strong like-for-like improvement and expedite deals well above market. While to some degree the sentiment on long-term agreements has shifted to a very negative view, our focus is less on the deals and more on the fact that they exist. Large hyperscalers using cash that is somewhat tight to put deposits down on 2029 memory should be a clear demonstration of what our industry contacts believe - that this will stay robust as long as we remain in this strong AI buildout.

Exhibit 1: Sandisk Long-Term Model

LONG-TERM SUSTAINABLE MODEL	
FY 2028 Through FY 2030	Average Performance
Revenue Growth Rate	Mid-to-High Teens
Non-GAAP Gross Margin	~80%
Non-GAAP Operating Margin	~75%
Adjusted Free Cash Flow Margin	~50%
Capital Intensity (% of Revenue)	Mid-Single Digits %
NOTE: Forward-looking non-GAAP measures exclude certain charges for which the timing and amount cannot be quantified with certainty. Accordingly, full reconciliations to the most directly comparable GAAP financial measures are not available without unreasonable effort. These target financial metrics are based on a variety of estimates and assumptions, are subject to risks and uncertainties and should not be relied upon as necessarily indicative of future results.	
SANDISK INVESTOR DAY IN FOCUS 2026	
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Source: Sandisk

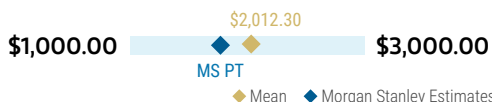
Risk Reward – SanDisk Corporation. (SNDK.O)

NAND improving quickly on the back of accelerating cloud demand

PRICE TARGET \$1,750.00

We assume 28x through-cycle EPS of \$62.50 (vs. our estimate of FY21-FY29 average of \$56). As improving industry dynamics as well as eSSD demand lead to sustained levels of higher profitability, 28x is a slight discount to our through-cycle multiple target for MU (28.5x) as the lower AI exposure is offset by historically higher FCF conversion

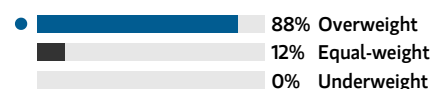
Consensus Price Target Distribution



OVERWEIGHT THESIS

AI demand is in the process of transforming the NAND market, and driving peak cycle EPS to multiples of what we have seen in the past. With still minimal new investment in capacity and evolving AI demand drivers we see a long runway for upward revisions.

Consensus Rating Distribution



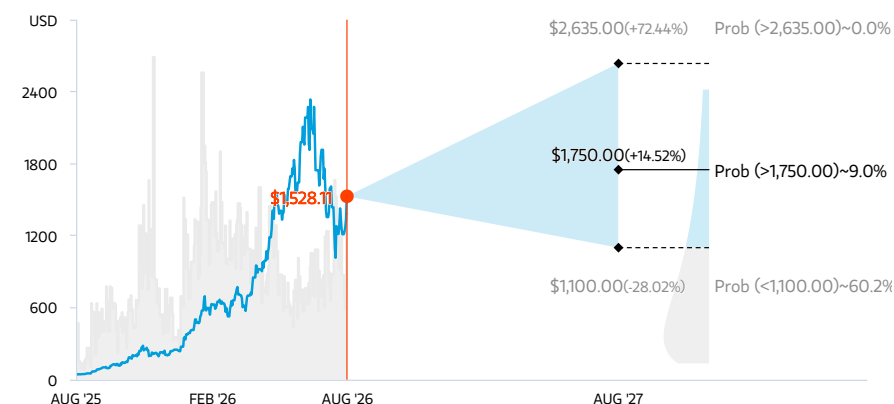
Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: *Positive*
Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 13 Aug 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

BULL CASE

\$2,635.00

31x through-cycle EPS of \$85

Our bull case of \$2,635 per share represents 31x a higher through-cycle EPS of \$85.00. Here future peak earnings look similar to the current environment, with AI demand supporting through cycle EPS about 40% of current cycle peak. As well as with more mild downturns, higher levels of profitability supporting a higher multiple.

BASE CASE

\$1,750.00

28x through-cycle EPS of \$62.50

Improving industry dynamics as well as eSSD demand lead to higher levels of profitability than we have seen over the last few years, 28x is a discount to our through-cycle multiple target for MU (28.5x) as the lack of direct AI is offset by historically higher FCF conversion.

BEAR CASE

\$1,100.00

25x through-cycle EPS of \$44

We think Sandisk can avoid much of the pain of the last downturn (\$13 per share loss), and with a better upcycle, with the multiple towards the average of the semiconductor group.

Risk Reward – SanDisk Corporation. (SNDK.O)

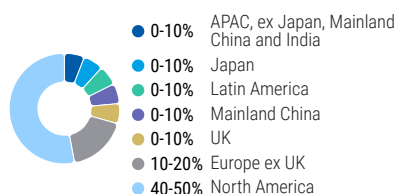
KEY EARNINGS INPUTS

Drivers	Jun 2026	Jun 2027e	Jun 2028e	Jun 2029e
GAAP Revenue (\$, mm)	20,248	47,433	42,626	32,907
Non-GAAP Gross Margin (%)	71.6	86.0	82.0	76.8
Non-GAAP EPS (\$)	70.99	212.37	173.37	124.80
Inventory (\$, mm)	2,698	3,047	2,698	2,970
DOI	168.2	164.1	125.9	139.6

INVESTMENT DRIVERS

- Improved pricing and demand strength drive earnings growth
- Position in DC SSD market improves

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	4/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Quicker eSSD penetration in the datacenter
- Higher NAND content growth from edge AI applications
- Sandisk's investments in advanced memory technologies such as HBF (high Bandwidth Flash) pay dividends

RISKS TO DOWNSIDE

- AI investment slows & NAND industry growth disappoints
- LTA's fail to change customer behavior
- Capex growth returns as industry participants invest to gain share
- China continues to gain share

OWNERSHIP POSITIONING

Inst. Owners, % Active	48.6%				
HF Sector Long/Short Ratio	2.1x				
HF Sector Net Exposure	33.6%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Jun 2028e



Mean Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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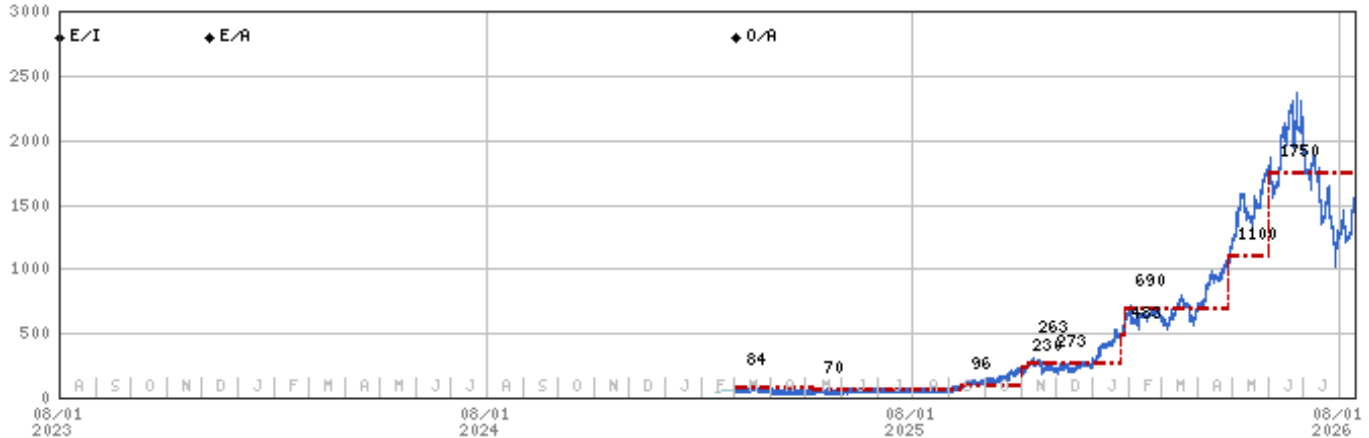
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

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Stock Price, Price Target and Rating History (See Rating Definitions)

SanDisk Corporation. (SNDK.O) - As of 08/14/26 GMT in USD
Industry : Semiconductors



Stock Rating History: 8/1/21 : E/I; 12/7/23 : E/A; 3/3/25 : O/A

Price Target History: 3/3/25 : 84; 5/7/25 : 70; 9/11/25 : 96; 11/2/25 : 230; 11/7/25 : 263; 11/23/25 : 273; 1/26/26 : 483; 1/29/26 : 690; 4/27/26 : 1100; 6/2/26 : 1750

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/13/2026)
Joseph Moore		
Advanced Micro Devices (AMD.O)	E (06/09/2024)	\$483.01
Aeva Technologies Inc (AEVA.O)	E (07/19/2021)	\$22.42
Allegro Microsystems Inc (ALGM.O)	O (02/13/2026)	\$44.13
Ambarella Inc (AMBA.O)	O (03/29/2016)	\$81.96
Amkor Technology Inc (AMKR.O)	E (11/08/2023)	\$57.75
Analog Devices Inc. (ADI.O)	O (11/16/2023)	\$381.17
Astera Labs Inc (ALAB.O)	O (05/11/2025)	\$322.78
Broadcom Inc. (AVGO.O)	O (06/09/2024)	\$417.82
Cerebras Systems (CBRS.O)	O (06/08/2026)	\$231.01
GlobalFoundries Inc (GFS.O)	E (10/28/2024)	\$52.69
Intel Corporation (INTC.O)	E (02/22/2023)	\$104.56
IonQ Inc (IONQ.N)	E (04/25/2023)	\$44.98
Marvell Technology Group Ltd (MRVL.O)	E (09/14/2015)	\$222.18
Microchip Technology Inc. (MCHP.O)	E (07/10/2024)	\$77.69
Micron Technology Inc. (MU.O)	O (10/06/2025)	\$949.83
Navitas Semiconductor Corp (NVT.S.O)	U (04/06/2025)	\$13.66
NVIDIA Corp. (NVDA.O)	O (03/16/2023)	\$225.30
NXP Semiconductor NV (NXPI.O)	O (02/11/2025)	\$231.91
ON Semiconductor Corp. (ON.O)	++	\$81.56
Qorvo Inc (QRVO.O)	E (10/28/2025)	\$98.44
Qualcomm Inc. (QCOM.O)	E (06/24/2026)	\$164.79
Quantinuum (QNT.O)	E (06/29/2026)	\$68.50
SanDisk Corporation. (SNDK.O)	O (03/03/2025)	\$1,528.11
Semtech Corp. (SMT.C.O)	E (04/06/2025)	\$133.58
Silicon Laboratories Inc. (SLAB.O)	E (01/19/2021)	\$218.30
Skyworks Solutions Inc (SWKS.O)	E (11/28/2018)	\$69.76
Texas Instruments (TXN.O)	U (04/13/2020)	\$273.43
Wolfspeed, INC (WOLF.N)	NR (04/06/2025)	\$31.51

Lee Simpson

Arm Holdings plc (ARM.O)	E (04/07/2026)	\$278.65
Cadence Design Systems Inc (CDNS.O)	O (02/14/2024)	\$323.77
Synopsys Inc. (SNPS.O)	E (02/27/2026)	\$411.75

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